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530_Answer_Template (1) revised 08.10.2026 - Copy 2.docx

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Question 1

Introduction

TM Ltd is a 75-year-old UK commercial insurance broker with about 500 staff across 15 locations.

The company plans to continue its existing business while also selling specialist commercial insurance products through wholesale brokers. The wholesalers will have no direct contact with TM Ltd.'s clients.

The Board considers the proposal relatively straightforward because competitors already offer these products.

This answer identifies four significant issues, assesses the extent to which TM Ltd can achieve its plans and makes recommendations for each issue.

Part 1: Four significant business issues

Issue 1: Competitive positioning

TM Ltd.'s existing proposition is based on local presence, while competitors already sell specialist products through wholesalers. Unless its local service, market-leading wordings and ownership of the client relationship can be translated into a clear specialist proposition, TM Ltd may struggle to differentiate itself.

Issue 2: Capability and Scale of specialists

The new products require technical expertise, risk-selection ability and sales confidence that TM Ltd.'s contact-centre and branch employees may not currently possess. TM Ltd must also determine whether the new line will generate economies of scope or merely add cost and complexity.

Issue 3: Fragmented IT environment

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TM Ltd operates several systems resulting from organic growth and past acquisitions. This fragmentation may become more significant under the new plans because a wholesale distribution chain requires data to flow accurately, promptly and securely between organisations.

Issue 4: Reliance on wholesale brokers

The fourth issue is TM Ltd.'s dependence on wholesale brokers and whether its existing governance and risk-management arrangements are adequate for the new business. TM Ltd will use third parties to access specialist insurers but will remain accountable to its clients and the regulator. Its governance, crisis-management and risk-management processes were designed for its existing business and will therefore require extension.

Part 2: Discussion on each of the four business issues

Issue 1: Competitive positioning

There are a number of strengths that TM Ltd can take advantage of. It has a good reputation, name recognition and a 75-year track record that gives it credibility and the market-leading policy wordings it offers are a product advantage.

However, when considering specialist cover, the wordings, the cost and the claims history are what clients consider, not the proximity of the office. It should also be mentioned that TM Ltd. would by no means be going it alone with its specialist products, as there are already others doing the same.

The study text states that "*the UK insurance market is an oligopoly market is the most appropriate description*" (Hardwick and Acharyya, 530 (2025) Ch5 E p.5/21). There are already a number of strong groups and plenty of differentiated products competing for the same customers. The Board is correct that TM Ltd has the reputation and processes to enter, but not the same as success.

It is not enough to just copy what competitors are already doing. The study text makes clear how firms in such markets should respond**: "***Firms need to develop strategies on pricing, marketing and product innovation to try and gain a competitive advantage over their rivals***"** (Hardwick and Acharyya, 530 (2025) Ch5 E p.5/22).

One of Porter's main strategies is differentiation, which focuses on product characteristics and attributes that are unique and difficult for competitors to replicate: **"***requires the firm to create something new, i.e. something unique that its competitors do not have***"** (Hardwick and Acharyya, 530 (2025) Ch5 E p.5/22)**.**

If TM Ltd does not establish a distinctive proposition, it is likely to remain a follower with a limited prospect of gaining material market share. Competing primarily through lower prices could increase sales but reduce margins. The Board may therefore be underestimating the competitive difficulty of the proposal.

Commercial buyers have become better informed through digital placement and easier comparison of terms, while regulatory expectations placed on brokers continue to increase. Reputation alone may be insufficient where price, wording and service can be readily

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compared. A focused strategy targeting a narrow group of specialist risks is therefore more realistic than a broad market launch.

4 Buyer power further increases the pressure, as illustrated by Porter's Five Forces. The study text notes that *"buyers have found that it has become easier to switch insurers via internet searches and price comparison websites*" (Hardwick and Acharyya, 530 (2025) Ch5 E p.5/22).

Business clients have the freedom to shop around and switch brokers if they are not satisfied. A client who is not happy with a specialist product can move the account, including the general business that is currently supporting TM Ltd. The new product places the existing business at risk if it fails to deliver.

TM Ltd nevertheless has two credible differentiators. It retains all client contact and therefore owns the relationship, whereas the wholesaler does not. The study text points out that "the marketing of insurance in the B2B market often requires personal contacts and strong relationship marketing techniques" (Hardwick and Acharyya, 530 (2025) Ch5 F p.5/28).

The local presence of TM Ltd is still useful, not because clients are buying a specialist product, but because it helps to maintain and strengthen commercial relationships. The specialist range may also be differentiated by the market-leading wordings, as long as it can obtain similar wordings from specialist insurers through the wholesalers.

TM Ltd can therefore differentiate itself to a moderate extent, but only if it combines local relationship ownership, specialist expertise and distinctive wordings within a clearly defined proposition. Without these features, its ability to achieve sustainable growth is limited.

Issue 2: Capability and Scale of specialists

TM Ltd.'s current success is built on effective and efficient technical and administrative processes. However, those processes were developed for general commercial insurance and may not be suitable for specialist risks, which can involve unusual exposures, customised wordings and more detailed underwriting information.

There is a need to train staff in the contact centres and branches in risk assessment and to ensure they are capable of accurately explaining complex cover.

1 The Insurance Act 2015, imposes a duty of fair presentation of the risk on a commercial insured which mandates that a commercial insured disclose any material circumstance of which he or she knows or should know. If a broker is not familiar with a specialist risk, they cannot assist their client to discharge that duty, and TM Ltd runs the risk of complaints, claim disputes and even negligence claims.

There is also a scale issue, in principle, offering a wider product range may deliver cost savings, which the study text defines as "*Economies of scope are long-run cost savings achievable by producing a wider range of goods and services within a single firm, compared with specialist production in separate firms*." (Hardwick and Acharyya, 530 (2025) Ch2 D p.2/17).

The cost of acquiring and servicing the existing client base is an expense that could be spread across more products, and offering specialist cover to those who already have it is appealing to TM Ltd. However, economies of scope arise only where the new and existing products share resources. If specialist products require dedicated expertise, systems or controls, the additional costs may outweigh the expected savings.

There is also a risk of diseconomies, the study text warns that "*Large organisations may suffer from administrative and communications problems, leading to delays in decision making and inefficient implementation of strategic decisions.*" (Hardwick and Acharyya, 530 (2025) Ch5 B p.5/8). Introducing a new proposition consistently across 15 locations therefore creates a material communication and implementation challenge.

3 Culture is another factor, TM Ltd has a long history, and established companies tend to resist change. The study text states: "*Essentially, the firm's culture is often the deciding factor in whether its plans are effective*." (Hardwick and Acharyya, 530 (2025) Ch3 A p.3/2).

13 If the specialist range is treated as separate from the core business, or if branch managers lack suitable objectives and incentives, referral levels and staff engagement may remain low.

Distribution is a further challenge because TM Ltd uses several sales channels, including UK contact centers. These may suit standard commercial risks where information can be collected through a relatively short conversation. Specialist risks may require more detailed fact-finding and an experienced adviser; an inflexible contact center script could result in incomplete information or unsuitable outcomes. TM Ltd should therefore restrict initial distribution to channels with appropriately trained staff, which may limit early sales volume.

TM Ltd can achieve this element of its plan to a moderate extent because its reputation and existing processes provide a foundation. However, a rapid organization-wide launch would be high risk; success depends on staged investment in specialist people, training, referrals and distribution controls.

Issue 3: Fragmented IT environment

TM Ltd.'s systems developed through organic growth and acquisitions and may have different data formats, reporting arrangements and support structures. Although its current processes are described as effective, efficient and compliant, that does not establish that the systems can support the additional complexity of specialist wholesale placements.

The new plan changes the operational requirements, TM Ltd must obtain quotations, transmit risk information, issue documents, process amendments and claims, and report on performance across the wholesale chain. If these activities sit across separate systems, staff may need to re-key data, increasing cost, delay and error risk.

With specialist risks, errors matter more because of the fair presentation duty. A wrong figure or missing disclosure passed to a wholesaler may not be identified until a claim. At that point the insurer can challenge the placement, and the client will look to TM Ltd.

1 If TM Ltd.'s systems are fragmented, it will find it hard to produce a single record of what the client said and what was passed on to the insurer, and it would need that record to defend itself in a dispute.

The study text identifies this as a common problem, *"A common challenge stems from legacy platforms and solutions and the migration of processes and data to new systems"* (Hardwick and Acharyya, 530(2025), Ch.5 G, p.5/28). It also stresses that *"Successful companies now appreciate the need to fully integrate information technology (IT) into the business"* (Hardwick and Acharyya, 530(2025), Ch.5 G, p.5/28).

TM Ltd.'s IT grew by accident rather than design, so it cannot meet this standard yet and cost is also relevant, consolidating several platforms is expensive and disruptive, and the new range is untested, so TM Ltd must weigh a large investment against uncertain specialist income. Cyber and data protection risk also rise, because client data will pass to an external firm and every new interface is a possible point of failure.

TM Ltd can therefore achieve this only to a limited extent in the short term. A controlled data link can support a pilot, but without consolidating systems the plan cannot scale.

Issue 4: Reliance on wholesale brokers

By using wholesale brokers would allow TM Ltd to access specialist insurers without establishing every market relationship itself. However, commission may need to be shared, potentially reducing margins, and TM Ltd would have less direct control over the quality and speed of quotations, documentation and claims support.

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Similarly, the study text says that outsourcing is related: "*While outsourcing may reduce costs, any form of contract that allows the business to outsource processes will mean that a certain degree of control and direction will be lost.*" (Hardwick and Acharyya, 530 (2025) Ch2 D p.2/18).

Because TM Ltd owns the client relationship, clients are likely to attribute delayed quotations, documentation errors or poor claims support to TM Ltd rather than to the wholesaler. TM Ltd would therefore retain the reputational consequences of service it does not fully control.

Wholesalers provide access to specialist insurers, so TM Ltd.'s negotiating position will depend partly on the number of suitable alternatives. If only a small number have the required insurer relationships and expertise, they may exercise bargaining power over commission, service levels and exclusivity.

TM Ltd is the more dependent party because it does not have the flexibility to relocate its specialty business once clients are established. Another issue is that a wholesaler may one day want to have direct access to TM Ltd.'s customers even though the plan does not allow it, which means that contractual protection is required.

The flow of information within the chain poses another legal and conduct issue. The client is obliged to make a fair presentation under the Insurance Act 2015 s.3, but the client will rely on TM Ltd and TM Ltd will rely on the wholesaler to pass on the information accurately to the insurer.

There are additional points where material facts can be left out or changed with each additional party. The wholesaler does not deal with the client, so it is unable to correct the misunderstanding directly and TM Ltd is responsible for getting the information right the first time.

Also, there is a conflict-of-interest issue if the wholesalers are paid by commission on volume, as it may not align with TM Ltd.'s clients' interests. Under FCA Principle 8 (PRIN 2.1.1R) a firm must deal fairly with conflicts of interest arising between itself and its customers and between a customer and another customer.

The last is that the governance, crisis management and risk procedures of TM Ltd are suitable for its current business, rather than its new business. The study text explains that "*All business strategies and operational areas carry some degree of risk, therefore all risk areas need to be carefully assessed*" (Hardwick and Acharyya, 530 (2025) Ch3 C p.3/33). It also states that the Board is "*responsible for all risks of the firm*"(Hardwick and Acharyya, 530 (2025) Ch3 C p.3/37).

The new plan introduces new concepts such as counterparty risk on the wholesalers, conduct risk on the specialist products, data risk and operational risk.

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The FCA's Principles for Business, Principle 3 (PRIN 2.1.1R) requires a firm to take reasonable care to organise and control its affairs responsibly and effectively with adequate risk management systems and TM Ltd cannot pass this responsibility to its wholesalers.

The governance base of TM Ltd is mature and it is regulated and experienced, but it will only be able to achieve its plans in this area if it extends its frameworks. If it believes that the current arrangements are sufficient, it will only identify gaps after an incident.

Part 3: Recommendations

Issue 1: Competitive positioning

TM Ltd should redefine its proposition before launch, with its website and literature mentioning the benefits of a trusted adviser with a local presence, market-leading wordings and access to specialist cover.

The Board should apply SWOT, PESTLE and Porter's Five Forces analysis to the specialist segments and choose a limited range where its wordings are a credible differentiator.

It should approach wholesalers early to secure the right to use its own wordings, or close equivalents, since competitors cannot easily copy these. It should pilot the range with existing clients who value TM Ltd.'s service, tracking win rates, margin and retention against defined targets.

Targets should be set before launch, for example a minimum win rate, a margin floor and a retention rate for pilot clients that matches the core book, so that success or failure is clear.

It should also protect the core business by setting service levels for specialist clients that match what current clients expect, and by tracking retention in both product lines so that damage is detected early. This keeps the launch low-risk and tests whether the Board's "straightforward" assumption holds. A narrow, focused launch also means TM Ltd competes where it is strongest rather than across the whole specialist market, and it gives the Board evidence before committing wider resources.

Issue 2: Capability and Scale of specialists

TM Ltd should appoint or identify a small group of specialist technical leads to assist branch and contact centre staff in dealing with complex risks and develop a training and accreditation programme before staff are allowed to advise on specialist cover.

It should establish referral criteria to ensure that complex or unusual risks are referred to the specialists, not general staff, to ensure the fair presentation of the risk and to safeguard TM Ltd.'s professional indemnity.

Senior management need to articulate a clear reason for the change across all 15 sites, ensure targets and incentives are shared with both core and new business, and track staff attitudes to ensure the culture is supporting the change and not working against it.

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It should also monitor periodically to see if the new line is realizing economies of scope or not, and reduce and halt investment if it is not.

Lastly, it should determine beforehand where it can sell specialist products. In reality, specialist enquiries should be directed to trained advisers rather than a generic contact centre script and the contact centres should only deal with the more basic products until staff are trained.

Issue 3: Fragmented IT environment

TM Ltd should arrange an independent audit of its IT setup, which will identify all systems, data and specialist placements which will pass through it.

Based on this, it should take a phased approach, in the first phase it should introduce a secure controlled interface or data layer between the existing systems and the wholesalers so that the pilot can get started without having to wait for the full replacement; in the second phase it should have a funded roadmap for consolidating the systems into fewer platforms, with milestones and strict cost control, as large system migrations often exceed their budgets and don't meet their business needs.

The data protection officer needs to ensure that the data flows comply with the requirements of the GDPR in the UK and TM Ltd should implement validation checks to ensure that the data sent to wholesalers is complete and accurate.

One client view should be a priority as it will aid cross-selling, management information and compliance.

The review should include a cyber security assessment of all interfaces with the wholesalers and the Board should receive a single management information pack on the performance of the specialist range from the outset of the pilot, to enable the Board to make a decision on whether the specialist range is effective or not prior to investing further funds.

Issue 4: Reliance on wholesale brokers

TM Ltd should have a proper due diligence process for each wholesaler they want to appoint, including financial strength, regulatory status, service history, claims handling and data security.

It should seek to negotiate written agreements that stipulate service levels, commission, information obligations, audit rights, data protection obligations, a prohibition on direct contact with TM Ltd.'s clients and exit and transition obligations.

TM Ltd should have more than one wholesaler where possible for key classes to minimise reliance and enhance their bargaining position and should have regular management information to monitor performance.

The Board should formally update its risk register, risk appetite and crisis management and business continuity plan to incorporate the risks of failure of the wholesalers, loss of data, specialist claim disputes and should ensure that clear accountability is placed on the new risks.

TM Ltd should also provide clients with a clear understanding of the role of the wholesaler and the remuneration of TM Ltd, establish a procedure for managing conflicts of interest where there is any commission based on volume, and ensure that all specialist files contain details on how information was obtained and passed on to ensure that fair presentation can be demonstrated if a claim is disputed.

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The Board should also appoint a senior person to be responsible for the wholesaler relationship and report to the Board regularly, to ensure accountability. The annual review of these controls will enable TM Ltd to demonstrate compliance with Principle 3 and to ensure the reputation that it has established over 75 years is maintained.

Question 2

Brief Context

Allianz Insurance UK

Allianz Insurance UK is the general insurance (UK) business of Allianz Group, primarily carried on by Allianz Insurance plc located in Guildford.

It is one of the largest general insurers in the UK, with over 6,500 staff in the UK and operates under the names of Allianz, Petplan, LV and Britannia Rescue (Allianz UK, n.d.).

It operates in three business segments: commercial, personal and specialty, and accesses customers via a direct network, partnerships with brokers and its own broker network (Allianz UK, 2026; Allianz UK, n.d.).

This answer focuses on commercial insurance sold to businesses in the UK, as this is where its market position is most apparent where Commercial insurance is typically sold through brokers.

In 2025, Allianz UK's operating profit was £476.2 million, its combined operating ratio was 93.0%, and this commercial segment's combined operating ratio was 94.1% (Allianz UK, 2026).

A below 100% combined ratio indicates that Allianz UK has collected higher premiums than it paid out in claims and expenses, which means that it is making an underwriting profit. The selected country is the United Kingdom in which Allianz Insurance plc is authorised and where most of its business in the UK is written.

Part 1: The model of market structure in which Allianz Insurance UK competes

Allianz Insurance UK is a firm in an oligopoly market with differentiated products. The UK commercial insurance market is highly concentrated, with limited access and competition on non-price terms like wordings, service and brand. This is supported by four features.

1. A few large firms that depend on each other: The study text defines an oligopoly as "*a market structure in which the industry is dominated by a few large firms. In such an*

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industry, each firm is to some extent dependent on the other firms and has to take account of other firms' actions." (Hardwick and Acharyya, 530 (2025) Ch5 C p.5/17).

The UK has many insurers, but "*the industry is dominated by relatively few insurance groups: the top ten groups control about 65% of the market and employ about 44% of all insurance employees*." (Hardwick and Acharyya, 530 (2025) Ch5 E p.5/20).

In commercial lines, Allianz is a competitor to the big groups including Aviva, AXA, Zurich and RSA. Each is aware that if a price, product or service is changed by one, it is likely to be responded to by the others.

2. Barriers to entry: The general prohibition (Financial Services and Markets Act 2000 s.19) means that a firm must be authorised or exempt to carry on a regulated activity. The study text confirms that "*An insurance company cannot set up in the UK or introduce a new line of business unless authorised by the regulator (PRA)*." (Hardwick and Acharyya, 530 (2025) Ch5 E p.5/20).

3. Differentiated products and brands: Policies are not the same. Wordings, risk engineering support, claims service and relationship with insurers and brokers are all different. The study text concludes that "*a 'competitive oligopoly' is the most appropriate description" of the UK insurance market* (Hardwick and Acharyya, 530 (2025) Ch5 E p.5/21).

4. Buyers who are informed and purchase through brokers: In commercial insurance, the information is typically not as one-sided as in consumer insurance. Insurers also have a better understanding of their wordings and claims practice than most clients. Brokers look at offers carefully and this makes each insurer conscious of its competitors.

The UK insurance market does not fit the model of monopolistic competition, since it is not made up of many small firms with free entry. Nor is it perfect competition, with products being differentiated and consumers not always being fully informed.

Also, it is not a collusive oligopoly. Allianz is not allowed to fix prices or to share commercially sensitive information with competitors, as this is against the Competition Act 1998. Rather, it has to make its pricing and underwriting decisions on its own, despite being in the midst of a small number of large insurance companies.

Part 2: Analysis of two benefits and two challenges

Allianz Insurance UK operates in a competitive oligopoly market, where there are a few large insurance companies that dominate the markets. This situation creates two benefits: the economies of scale and the brand and barriers to entry. It also creates two challenges: the interdependence of competitors, and the combined pressure of intense rivalry and powerful brokers.

These are evaluated against the economic characteristics of an oligopoly and the particular situation of Allianz in the market.

Benefit 1: Economies of Scale, resources and capacity to innovate

The first advantage is that, in a market with only a few large groups, Allianz can invest in capability that smaller insurers cannot afford. The study text explains: "*As individual firms in the oligopoly grow, they gain the resources to benefit from economies of scale and to engage in research and development, leading to innovation and often diversification of their products,*

as is often found in the insurance and banking industries." (Hardwick and Acharyya, 530 (2025) Ch5 C p.5/16).

Allianz is directly affected by this, it has a very large premium base, which means that its fixed costs (technology, actuarial and underwriting knowledge, claims handling and regulatory compliance) are spread out, and its unit cost is likely to be lower than a small commercial insurer's. It also benefits from the resources of the Allianz Group.

AI and automation helped Allianz UK to achieve a 10% productivity boost in underwriting, and to enhance efficiency in broker engagement and service operations in 2025 (Allianz UK, 2026). AI needs large amounts of data and continuing investment, which scale makes affordable.

12 Scale also improves risk assessment: "*larger companies are also able to accumulate more data from their wider customer base and so can estimate the risk of losses with more precision*." (Hardwick and Acharyya, 530 (2025) Ch5 B p.5/7).

This matters in commercial insurance, where risks are large and varied, because more precise estimates support more accurate and profitable pricing.

Scale also allows for diversification, meaning that if one class of business is weak, it won't affect the others. Allianz has a personal, commercial and specialty division.

In 2025, its specialty business, including Petplan, achieved a combined ratio of 85.0% (Allianz UK, 2026). If one division does well, it can compensate for the other divisions.

In the mid-market segment, cross-selling in commercial insurance nearly doubled (Allianz UK, 2026), highlighting the importance of having a wide product portfolio to provide clients with the convenience of buying multiple covers from a single insurer.

The study text warns of managerial diseconomies: "*Large organisations may suffer from administrative and communications problems, leading to delays in decision making and inefficient implementation of strategic decisions.*" (Hardwick and Acharyya, 530 (2025) Ch5 B p.5/8).

Allianz's multiple brands and divisions add complexity that it must manage to keep the benefit. This is a real and important advantage of the market system, as only a few large players can afford to invest at this level.

The gain is different depending on the activity, being higher in data and technology-based activities and lower in those that rely more on local knowledge and personal service.

Benefit 2: Barriers to entry and brand-based competition

The second benefit is that barriers to entry and brand competition restrict new entrants and price competition for existing insurers. The authorisation requirement and the capital requirements to establish an insurer make it difficult for a new competitor to enter the UK commercial insurance market.

Existing insurance companies like Allianz, which are already licensed, have capital, broker panels and claims infrastructure, so they are protected from new competitors.

Brand competition also affects pricing: "*prices are often stable for long periods, disturbed only periodically by short price wars*" (Hardwick and Acharyya, 530 (2025) Ch5 C p.5/16).

6 Stable pricing enables an insurer to make plans for underwriting, reserving and capital. It has a high degree of certainty about its premium income and claims ratio and can invest in people and systems in the long term.

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This is important to Allianz because it has a competitive advantage based on non-price factors. The Allianz brand is ranked as the top global insurance brand by Interbrand (Allianz UK, n.d.), and its broker relationships, claims service and risk management services all make it stand out.

Allianz UK was also the top scorer in Net Promoter Score (NPS) for loyalty in all three of its business segments (Allianz UK, 2026). When customers value service and trust, an insurer can win and keep business without being the lowest bidder, which helps margins. This pattern is reflected in Allianz UK's combined ratio of 93.0% (Allianz UK, 2026).

The benefit has limits, because barriers to entry are not absolute. The study text accepts that high entry costs "*represent a relatively strong barrier to entry" but "will not prevent firms from entering a potentially profitable market*" (Hardwick and Acharyya, 530 (2025) Ch5 E p.5/21).

Allianz cannot take its position for granted, because digital insurers, managing general agents and international carriers can enter specific niches.

Despite this, the barriers and brand effects allowed Allianz to compete on service and underwriting quality, not price. The benefit is real but contingent, that is, it relies on Allianz's ability to provide the service that is worthy of the brand.

Challenge 1: Mutual dependence and the risk of price wars

The first problem is that in an oligopoly no firm can determine what will happen to its market share since its competitors respond. The study text explains that the firms are *"mutually dependent"* (Hardwick and Acharyya, 530 (2025) Ch5 C p.5/15) and warns that *"Any price cuts by one firm are likely to be copied by rival firms (possibly leading to a damaging price war), while price increases are likely to lead to a significant loss of sales if other firms keep their prices unchanged."* (Hardwick and Acharyya, 530 (2025) Ch5 C p.5/15).

The study text links this behaviour to the kinked demand curve, which *"is sometimes used to explain why prices tend to be relatively inflexible in oligopolistic markets"* (Hardwick and Acharyya, 530 (2025) Ch5 C p.5/15). Allianz has two implications as a result.

First, it is hard to raise prices in a class where claims costs are increasing, like property or liability, because brokers can put the business with a competitor that has not yet raised rates.

Claims inflation, extreme weather and increased reinsurance costs all put pressure on technical prices, which may lead to a reduction in margins or a loss of volume for Allianz.

Second, if the competition reduces rates during a softening segment of the underwriting cycle, Allianz will have to determine if they should follow suit.

If it is similar to the cuts, its combined ratio will likely decline from the present 94.1% in commercial lines, and if not, it could lose profitable clients and the cross-selling opportunities that those clients provide.

Allianz cannot coordinate with competitors to avoid destructive pricing as this would be in breach of the Competition Act 1998 s.2. It should have to deal with the risk completely on its own underwriting discipline.

The net effect is that Allianz is forced to take the fact that its margins are partially determined by the actions of rivals that it cannot influence.

In 2025, Allianz UK's revenue amounted to £4.64 billion and its operating profit was £476.2

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million (Allianz UK, 2026). To give a very rough example, a 1% combined ratio on the revenue is approximately £46m, or about 10% of operating profit.

This is a rough estimate, since it compares earned premium with the total revenue, but it does indicate the financial risk of this challenge. Allianz has some protection as it has managed this risk well so far, evidenced by its improving combined ratio, but it is persistent because the underwriting cycle is an integral part of the way the business works, and it cannot be avoided. It is thus a challenge to be addressed on an ongoing basis, rather than solved once and for all.

Challenge 2: Intense rivalry and the bargaining power of brokers

The second challenge is fierce competition. There are a few well-resourced rivals that are vying for the same clients, and brokers control access to commercial clients.

Allianz therefore needs to continue investing in marketing, service and innovation to hold on to its market share. The study text states that *"As the insurance industry is characterised by differentiated products, there is a high degree of inter-firm rivalry, so the development of effective marketing strategies is an extremely important means of protecting market share"* (Hardwick and Acharyya, 530 (2025) Ch5 E p.5/22).

In the United Kingdom, a large proportion of commercial insurance is sold via brokers, who will search multiple insurance companies for their clients and present them with the best available terms.

This provides brokers with a lot of leverage, as they are able to transfer a client or even an entire book to another insurance company on renewal. The study text notes that *"buyers have found that it has become easier to switch insurers via internet searches and price comparison websites"* (Hardwick and Acharyya, 530 (2025) Ch5 E p.5/22).

The same comparison can be made for brokers who are trading digitally. Allianz will have to invest significantly in broker relationships, service levels, technology, commission and product terms that continue to be competitive. These costs cut into margins and are unavoidable as a competitor with a better broker experience will get the placement.

Allianz also faces competition from other insurers that distribute their products via the same broker panels, making distribution decisions important. Each major carrier is reliant on the other for business, so if a competitor makes a better offer on their brokerage or their digital trading platform, they will be able to take business away at renewal time, and Allianz will have to make a counter offer to match.

The study text explains that in this structure *"Brand loyalty among customers is encouraged by promotion and marketing the brand is an alternative to price competition."* (Hardwick and Acharyya, 530 (2025) Ch5 C p.5/16).

It is making that investment, as is its rivals, with Allianz UK using AI and automation throughout underwriting and broker engagement and service operations (Allianz UK, 2026), but any technology advantage could be fleeting. The problem is not that Allianz is weak, it is that it has to continue to invest and differentiate itself if it's going to maintain its edge in a market where competitors can move quickly. This is a cost that will never be recovered from competing in the structure and that's why the recommendations below focus on mitigating the risk of losing key broker relationships.

Part 3: Recommendations

Maximising Benefit 1: Scale, resources and capacity to innovate

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Allianz Insurance UK should leverage scale in areas where it will be most beneficial, primarily in data, pricing, underwriting automation and claims.

It should keep investing in AI and automation for underwriting and broker service, establish metrics of value, including cost per policy, quote turnaround time and hit rate, and share its successful tools across its commercial, personal and specialty lines, thereby diffusing the cost.

It should also finalise the process of group restructuring without delay, as the planned transfer of the business of Liverpool Victoria Insurance Company Limited to Allianz Insurance plc, which is due to take place on 1 January 2027, will otherwise lead to economies of scale being lost, and managerial diseconomies arising as described in the study text.

Finally, it should leverage its wider product portfolio to further broaden its cross-selling to the mid-market, training underwriters and broker managers to sell packaged covers, which is a form of cross-selling that has already started, and will be an additional premium on a low acquisition cost.

Allianz should also be reporting to the Board every year on the savings and additional income that have been generated by its technology investment, and continue investing only where it has been proven.

Maximising Benefit 2: Barriers to entry and brand-based competition

Allianz should leverage the protection barriers and brand provide to them to play on value, not price.

It should focus on what it believes is the most difficult to replicate, including risk engineering and inspection, specialist underwriting skills, claims service quality and capital strength.

It should continue to measure and publicise its broker and customer loyalty results, as loyalty is its biggest asset to keep it from price competition.

It should also keep an eye on new players in certain segments like digital insurers and managing general agents and act proactively in order to ensure that the barriers it gains from are not undermined in the most profitable segments.

It should also maintain its financial strength ratings and solvency position strong, since it is capital that shields it, and it should also share clear evidence with brokers that claims have been paid to further build the trust behind its brand.

Minimising Challenge 1: Mutual dependence and the risk of price wars

Underwriting discipline must be the primary policy of Allianz's commercial approach, to safeguard itself from this price-war scenario.

It should establish a minimum technical price for each class and not accept business which is below that price, even if this results in a decrease in volume in a poor market, since the combined ratio is the best indicator of profitability.

It should leverage its data capability to price according to risk rather than the market and focus more on the segments in which it can assess risk better than its competition.

It should keep and review its reinsurance programme to ensure that it can cope with a claim's inflation and the risk of catastrophe without having to adjust its price, and mirror the underwriting cycle to allow senior management to plan capacity in advance of market pricing

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changes.

This will all need to be done separately and in accordance with the Competition Act 1998, s.2, and staff should be given regular training on competition law so that no discussions with competitors regarding price is allowed. It should also provide monthly class by class rate adequacy and combined ratio to senior management to ensure that any tendency towards unprofitable pricing is identified early rather than at the year end.

Minimising Challenge 2: Intense rivalry and the bargaining power of brokers

Brokers control access to commercial clients and can switch a client, or an entire book, to a competitor at renewal.

Allianz should therefore strive to be the easiest insurer to trade with, support their best brokers and not rely on any single broker or channel. Underwriting discipline against price pressure is covered under Challenge 1.

First, Allianz should be easy to trade with. It should offer easy digital trading and quick quotes, and have a consistent underwriting authority across its teams, ensuring that brokers receive consistent decisions and select Allianz for its service as well as its price.

Any technology advantage can be fleeting, so it should compare the broker experience to that of its competitors and continue to invest in areas where brokers are finding a gap.

Second, Allianz should list their brokers by value not size. It should assess them on the profitability, retention and quality of the business they place.

It should then provide differentiated service and incentives to the best of them and agree long-term relationships with them.

Meanwhile, it should diversify its business among a number of broker groups and channels, so that the loss of one broker or book would not have a material impact.

These actions are important because brokers are looking for the best experience and if Allianz does not provide it, they will place business with a competitor. Brokers need to have a reason other than price to put business with Allianz.

Allianz can measure the effectiveness of this by monitoring retention and renewal rates of its best brokers, the turnaround time for quotes, hit rate and the percentage of premium generated by its biggest brokers, and report this to senior management on a quarterly basis.

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Question 3

Brief Context

Allianz Insurance UK

Allianz Insurance UK is the UK General insurance business of the Allianz Group, which is principally sold through Allianz Insurance plc in Guildford.

It is one of the biggest general insurance companies in the UK, has over 6,500 employees in the UK and has commercial, personal and specialty divisions (Allianz UK, n.d.; Allianz UK, 2026).

Business insurance (Allianz UK, n.d.), personal insurance (car, home and pet) is provided by Allianz.

In 2025, the results showed that Allianz UK made an operating profit of £476.2 million and combined operating ratio of 93.0% (Allianz UK, 2026).

It involves claims costs which are heavily dependent on the physical environment that public spending creates, as it is an insurance company covering buildings, vehicles and the businesses that use them.

In this answer we will refer to the United Kingdom, the country in which Allianz Insurance plc operates and where the public spending, mentioned below, is determined and financed.

Part 1: Two significant types of public sector spending

The public sector is a large part of the UK economy, so its spending decisions shape the risks that insurers cover.

The study text sets out where the money goes: "*Table 1.1 shows the percentage shares of the main components of UK Government spending in 2023/24 and gives a clear picture of the Government's role in the UK economy*." (Hardwick and Acharyya, 530 (2025) Ch1 C p.1/15).

Table 1.1: Shares of the main components in UK Government spending 2023/24

Spending Component	Share of total spending (%)
Social protection	32.9
National Health Service	20.2
Debt interest	11.1

Education	10.2
Defence	5.2
Public order and safety	4.4
Transport	**4.2**
Enterprise and economic development	2.2
Housing and community amenities	1.8
Environmental protection	**1.4**
Recreation, culture and religion	1.2
Science and technology	0.9
Agriculture, fishing and forestry	0.6
Other	3.7
Total	100

Source: (Hardwick and Acharyya, 530 (2025), Ch1 P 1/15)

17 The biggest items are social protection and the National Health Service, and the latter mainly affects life, pensions and health insurance firms. Allianz Insurance UK is a general insurer whose core business is property, motor and liability exposures, so the spending that matters most to it is spending that affects the physical risk it insures.

Public Spending 1:

Environmental protection: The first type of spending is environmental protection, in particular flood and coastal defences.

21 Although environmental protection is a relatively small proportion of the budget (1.4% of UK government spending, Table 1.1, Ch1 C p.1/15), flood defence is increasingly important.

The Government has pledged to spend £7.9 billion over a decade (April 2026 to March 2036) on flood defence construction and repairs, protecting 840,000 properties (Environment Agency and Defra, 2026).

This is relevant to Allianz, as flood damage is primarily to property classes, which is a large component of its commercial and personal business.

Public Spending 2:

The second is spending on transport (road maintenance), especially on the maintenance of roads. Transport is 4.2% of government spending in the UK (Table 1.1, Ch1 C p.1/15), and the government has announced £7.3 billion of record funding for transport, including £1.6 billion of local roads funding that has been subject to new rules for local government (GOV.UK, 2026).

5 To Allianz, it is significant because of the impact on the frequency and intensity of vehicle damage claims that are covered by the motor portfolio.

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Part 2: One opportunity and one challenge for each type of spending

Spending 1: Environmental protection (flood and coastal defences)

Opportunity

Better flood and coastal protection should lead to fewer and smaller flood claims in protected areas. This would be most beneficial for property and commercial property classes, and would leave flood-exposed properties insurable.

The amount of flood losses is significant: in 2023, Allianz's flood claims were over £20 million (Allianz UK, 2024a), so a small reduction in claims would have an impact.

Challenge

Defences are still incomplete and construction is ongoing in areas that are still highly vulnerable to flooding.

Public spending cannot eliminate Allianz's flood exposure and it still needs to price and manage the risk for properties outside protected areas.

Spending 2: Transport (road maintenance)

Opportunity

If more money is being spent on maintaining the roads, then there will be fewer potholes and consequently fewer motor damage claims.

Pothole claims are small but frequent: Allianz paid more than £4.6 million for pothole claims from the beginning of 2023 (Allianz UK, 2024b).

Challenge

Gains will be gradual and uneven, with funding potentially shifting, a long list of repairs to be made and claims costs continuing to increase.

Road spending will therefore not have a rapid impact on motor claims, and Allianz will need to control costs through its own pricing and claims handling.

Allianz is impacted differently by the two types of spending. Flood spending is correlated with fewer property losses, but larger losses. Road spending is correlated with more frequent but smaller motor losses. Each needs its own response.

Part 3: The extent to which Allianz Insurance UK responds

Allianz's response to each opportunity and challenge is assessed against three criteria: (1) did Allianz identify the challenge; (2) has Allianz taken tangible action; and (3) does the action impact on its commercial decisions (underwriting, pricing, claims handling and customer service) and does it affect profit?

The first two tests are more easily seen in public sources than the third, and so conclusions about commercial impact are tentative.

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Each section below uses the same three labels: Recognised and acted, Commercial impact, and Extent of response.

Opportunity 1: Flood and coastal defences

Opportunity: defence spending that reduces losses and creates new services

The opportunity is that government investment in defences can minimise losses and enable Allianz to provide customers with new services.

9 The study text lists cooperation between insurers and governments as a source of opportunity: "*Insurers co-operating with governments: On planning regulations, flood defences and responses, and sharing best practices to climate-related challenges*" (Hardwick and Acharyya, 530 (2025) Ch3 D p.3/41).

10 Allianz can leverage this by providing policyholders with practical advice on how to mitigate their own flood risk, thereby reducing claims and enhancing customer engagement.

Recognised and acted: Allianz has taken action. It has requested the independent think tank Localis to report on planning for flood resilience, and supported measures such as increased 10 capacity at the Environment Agency and improved coordination between government departments (Allianz UK, 2024a).

In May 2026 it joined the FloodAction Coalition, which aims to establish a £1 billion water resilience market by 2028, and its Chief Claims Officer sits on the steering committee (Reinsurance News, 2026).

These actions demonstrate engagement with government and investment in resilience, and they help to prevent losses: customers who take steps to protect themselves before a flood will have fewer claims.

8 **Commercial impact:** The Government estimates that for every £1 invested in flood defences, it saves approximately £8 in economic losses (Environment Agency and Defra, 2026), which includes insured and uninsured damage, lost activity and public infrastructure.

Only the insured share benefits Allianz, and part of that goes to reinsurers. The opportunity is real, but not as big as the headline implies, and only in areas where defences are finished.

Little is publicly known about how defence investment is reflected in Allianz's underwriting, pricing or policy terms either. It can take time for benefits to be seen and customers may not notice any change in cover.

4 12 Allianz also has no control over the use of funds and relies on the quality of data provided by government agencies.

Extent of response: reasonable at strategic level (advocacy, data and partnership), weaker at commercial level.

Challenge: uneven defences and building in high-risk areas

The challenge is that public spending does not remove flood risk.

Climate change makes it harder to model, as the study text warns: "*Historical weather data may no longer accurately predict future risks*" (Hardwick and Acharyya, 530 (2025) Ch3 D p.3/40).

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This makes it more difficult to price accurately and impacts on the premiums that Allianz can charge in low-lying, defence-reliant regions. There is also a residual risk of failure or overtopping of defences and future funding is not assured.

In 2023/24, public debt was nearly 99% of GDP (Hardwick and Acharyya, 530 (2025) Ch1 C p.1/19), meaning that a future government could cancel today's promises and fail to construct the defences.

Recognised and acted: Allianz has made it public that there is a problem. It found planning permission for 7,116 homes in 12 English local authorities on undeveloped flood plain.

It also identified that 7% of flood defence in England are in poor condition and that a quarter of them are privately owned and almost twice as likely to be in poor condition as those managed by the Environment Agency (Allianz UK, 2024a).

In 2023, it had an average flood claim of around £33,000, with the largest claim being nearly £450,000 following Storm Babet (Allianz UK, 2024a).

These are the numbers that illustrate Allianz's risk and that public defenses will not be able to fully hold it back.

Allianz also utilises its own claims data to question planning decisions, a sensible approach to a risk that it cannot underwrite away, and its engineering inspection services enable it to assess commercial sites (Allianz UK, n.d.).

Commercial impact: Weak defences also affect the wider market. As more claims are filed, more losses are being incurred by the reinsurers and so they are asking for more money to reinsure, which means that Allianz could pay more even if their losses in those areas are not that large.

There is also a moral hazard problem: builders might be less discouraged from building in high-risk areas if the new homes are insurable. That is why Allianz has decided to bring the planning question to the fore.

However, challenging planning policy cannot change policies already written and a quarter of defences are privately owned, meaning Allianz's customers could be liable for poor quality defences.

Extent of response: Allianz is good at recognising and communicating the problem, but has limited influence on the underlying drivers of the problem, and protection is in its pricing, accumulation management and reinsurance.

Spending 2: Transport (road maintenance)

Opportunity: road maintenance spending that reduces motor claims

The opportunity is that better roads should reduce vehicle damage claims. The study text notes that "*To be competitive, firms need high quality infrastructure*." (Hardwick and Acharyya, 530 (2025) Ch2 B p.2/9).

Improved roads would result in fewer damage claims from Allianz's personal and commercial motor customers, including businesses with vehicle fleets.

Recognised and acted: Allianz's visible response is limited. It welcomed the Government's plans to increase funding for road repairs (Allianz UK, 2024b), but there is no public evidence

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of any change to its products or customer propositions as a result of this. It also has no control over the use of the money, as it is paid to local authorities, not insurers.

Commercial impact: Partly because the size of the opportunity is small: pothole claims of more than £4.6 million since the beginning of 2023 (Allianz UK, 2024b) are small compared to Allianz UK's operating profit of £476.2 million in 2025 (Allianz UK, 2026).

The time spans are not the same, so this is only an approximate comparison. It suggests that for Allianz, pothole claims are not a major cost and thus there is little reason to develop a specific response. Allianz has yet to make any obvious moves, for instance, analysing claims to see which roads are the worst or pricing to reflect better roads.

Extent of response: Allianz has identified the opportunity but has yet to translate this into underwriting, pricing or claims handling.

Challenge: slow delivery and rising pothole claims

The challenge is that the funding will not bring down claim's costs quickly. The Department for Transport has announced that £525m of the £1.6bn allocated for local roads could be held back if councils fail to meet standards on spending effectiveness and road condition, while 154 local highway authorities have been given red, amber or green ratings on those two indicators (GOV.UK, 2026).

There is likely to be uneven improvement with performance-based funding.

The study text explains the background: after 2010 "*Government spending was reduced across all departments except health, international development and work and pensions, with defence spending being cut by 7.5%, local government funding by 27%*" (Hardwick and Acharyya, 530 (2025) Ch1 C p.1/20). Most local roads are owned by Councils and cuts of this magnitude are part of the reason for the backlog that the new undoing now has to clear.

Recognised and acted: Allianz UK (2024b) has said that it has settled over £4.6 million (as mentioned above) on 1,266 pothole claims since the start of 2023, that the average claim has increased from around £3,000 to around £4,000 and that 1 in 5 damaged vehicles are written off.

It provides this cost information to government and motorists and administers claims, but it cannot control road conditions.

Commercial impact: Claim costs could continue to increase until roads are improved and the number of claims falls, as repair and total-loss costs are higher.

Allianz will pay out more per claim until the benefit is received, which will be dependent on the speed of the council's spending on repairs.

Recovery is also limited, as a highway authority is under a duty to maintain the highway under s.41 of the Highways Act 1980 but has a defence under s.58 if it can demonstrate that it took reasonable care to ensure that the part of the highway in question was not dangerous.

This makes it hard for Allianz to recover costs from councils. Personal motor is also price-sensitive, because "buyers have found that it has become easier to switch insurers via internet searches and price comparison websites" (Hardwick and Acharyya, 530 (2025) Ch5 E p.5/22), so Allianz may be unable to pass on all of the rise in claims severity without losing competitiveness.

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Extent of response: moderate. Allianz is good at measuring and reporting cost, but can only reduce it through pricing, claims management and influence.

Part 4: Recommendations to enhance the response

26 The recommendations will help to ensure that every response will be translated to measurable commercial outcomes from recognition and advocacy.

They proceed in the same order as in Part 2 and each of them outlines what Allianz should do, why, and how they will know the response has improved.

Spending 1: Environmental protection (flood and coastal defences)

Opportunity

25 Allianz should improve their flood models and pricing based on the data from the Environment Agency and local authorities, and share some of the benefit with customers by offering improved terms or premium credits where flood defences are maintained, for postcodes where new or improved defences are installed.

It should provide commercial customers with site surveys and property-level flood protection advice and leverage its FloodAction Coalition membership to advocate for a common, standardised dataset on the condition of flood protection, that would also enhance its risk selection.

The answer is that lower risk is only profitable when it is priced and risk selected accordingly and customers can see the value. If the flood loss ratio reduces in postcodes where new defences are installed, then Allianz will be aware of the improvement in the response and senior management should be informed of this regularly.

Challenge

Allianz should continue to leverage its claims evidence to drive tighter planning controls and improved defence maintenance, but not use that as a means of managing exposure.

It should update its flood models based on current weather information and not just historical data, and manage high-risk postcodes by using underwriting limits, deductibles and reinsurance, as well as reviewing the reinsurance programme annually to reflect the latest flood losses.

It should also survey privately owned defences at commercial premises it insures and require maintenance or risk improvements where they are in poor condition, and tell customers in high-risk areas clearly what is and is not covered.

1 This is because public expenditure will not eliminate this exposure, which is why it must be managed by Allianz itself and clear communication will safeguard its reputation in the event of a claim.

Success would be demonstrated by flood losses remaining consistent with the model estimates and no unexpected increase in reinsurance costs in the high-risk postcodes.

Spending 2: Transport (road maintenance)

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Opportunity

Fewer pothole-related motor claims

11 Allianz should release the locations of pothole claims to the Department for Transport and local highway authorities, to ensure repair money is directed to the roads that are most damaged.

It should monitor claims frequency after major repairs have been completed and show proven improvements in motor pricing, and provide commercial fleet customers with route and road-risk analysis and driver reporting tools.

The reason is that its claims data is its primary tool for determining where repairs take place and for capturing the benefit, and because pothole claims are a small portion of its profits, the effort should remain proportionate.

Allianz should have a modest goal for claims frequency in areas where repairs have been made and a fixed review date, to determine if the repairs are working.

Challenge

Road improvements are slow and pothole claims costs are rising

2 Allianz needs to reassess its repair network and total loss limits to ensure that customers are fairly treated without undue burden on the company, and incorporate severity inflation for potholes into motor pricing and reserving.

It should continue to publish its claims data to press for ring-fenced funding for road maintenance, seek legal advice on whether it is possible to recover from the highway authorities, and concentrate on claims where a known defect was not addressed.

It should also provide clear instructions to customers on how to report potholes and how to document damage, which will help ensure that valid claims are resolved promptly and fraud is easier to detect.

1 The reason is that repairs will take time and Allianz needs to deal with the claim's costs during the time.

6 It should be compared to the number of council repairs per quarter each quarter and pricing and reserving should be adjusted before losses increase, and the results should be reported to the Board to demonstrate if public expenditure is leading to reduced claims and improved customer outcomes.

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Referencing must be completed before submission

All sources must be referenced in the body of your answer as well as in your reference list. See the *530 Specimen coursework assignment and answer* for examples of how to reference correctly in text and in your reference list.

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1 **Glossary of key words**

Analyse

Find the relevant facts and examine these in depth. Examine the relationship between various facts and make conclusions or recommendations.

Construct

To build or make something; construct a table.

Describe

Give an account in words (someone or something) including all relevant characteristics, qualities or events.

Devise

To plan or create a method, procedure or system.

Discuss

To consider something in detail; examining the different ideas and opinions about something, for example to weigh up alternative views.

Evaluate

Make an appraisal of the worth of something.

1 Explain

To make something clear and easy to understand with reasoning and/or justification.

Identify

Recognise and name.

Justify

Support an argument or conclusion. Prove or show grounds for a decision.

Outline

Give a general description briefly showing the essential features.

Recommend with reasons

Provide reasons in favour.

State

Express main points in brief, clear form.

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